(8)

NATIONAL COMPANY LAW TRIBUNAL
BENGALURU BENCH
COURT NO.1

ATTENDANCE CUM ORDER SHEET OF THE HEARING OF NATIONAL COMPANY LAW TRIBUNAL, BENGALURU BENCH, BENGALURU, HELD ON 25.09.2018

PRESENT: 1.Hon'ble member (J) **Shri Rajeswara Rao Vittanala,**
2. Hon'ble member (T) **Dr. Ashok Kumar Mishra**

CP/CA No	Purpose	Section	Name of Petitioner	Petitioner Advocate	Name of Respondent	Respondent Advocate
CP(CAA) No.35/BB/ 2017	For pronouncement of order	Sec 230/232	Ruukki Metals Trading & Marketing India Pvt Ltd	Maneesha Kongovi		Prema Hatti CGC for ROC/ RD

SL. NO.	NAME (IN CAPITAL) & PHONE NUMBER	REPRESENTATION TO WHOM	SIGNATURE

PETITIONER/s :

1. MANEESHA KONGOVI 9620209706 — PETITIONERS — For Maneesha Kongovi

RESPONDENT/s :

ORDER

Heard Ms. Maneesha Kongovi, learned Counsel for Petitioner.

C.P is disposed of, vide separate order.

MEMBER (T) **MEMBER (J)**

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IN THE NATIONAL COMPANY LAW TRIBUNAL

BENGALURU BENCH

C.P (CAA) No. 35/BB/2018

U/S 230 to 232 of the Companies Act, 2013

Order Delivered on: 25th September 2018

IN THE MATTER OF SCHEME OF ARRANGEMENT (MERGER)

OF

RUUKI METALS TRADING AND MARKETING INDIA PRIVATE LIMITED,

(TRANSFEROR COMPANY)

AND

SSAB SWEDISH STEEL (INDIA) PRIVATE LIMITED

(TRANSFEREE COMPANY)

Coram: 1. Hon'ble Shri Rajeswara Rao Vittanala, Member (Judicial)

2. Hon'ble Shri Ashok Kumar Mishra, Member (Technical)

M/s Ruuki Metals Trading and Marketing India Private Limited
Unit 101, #18/9, Saleh Centre,
Cunningham Road,
Bengaluru-560052

....Petitioner Company No. 1

M/s SSAB Swedish Steel (India) Private Limited
Unit 101, #18/9, Saleh Centre,
Cunningham Road,
Bengaluru-560052

....Petitioner Company No. 2

For the Petitioner(s): Ms. Maneesha Kongovi, Advocate
For the Respondent(s): Smt. Prema Hatti, Standing Counsel, RD & ROC

Per: **Hon'ble Shri Ashok Kumar Mishra, Member (Technical) – Author**

Heard on: 11.08.2017, 21.08.2017, 29.08.2017, 16.10.2017, 08.11.2017, 15.11.2017, 21.12.2017, 09.01.2018, 01.02.2018, 26.02.2018, 22.03.2018, 03.04.2018, 19.04.2018, 24.04.2018, 04.06.2018, 08.06.2018, 19.07.2018, 26.07.2018, 14.08.2018, 31.08.2018, and 06.09.2018

ORDER

1. The Company Petition was filed on behalf of the Petitioner Companies under Section 230 and 232 of the Companies Act, 2013 with the following prayer:

(i) That the said Scheme of Amalgamation of Ruukki Metals Trading and Marketing India Private Limited, the Transferor Company, with SSAB Swedish Steel (India) Private Limited, the Transferee Company and their respective shareholders and creditors as embodied in the Scheme of Amalgamation annexed as Annexure A may be sanctioned by this Hon'ble Tribunal, with or without modification, and declare the same to be binding on the Petitioner Companies and all their respective shareholders and creditors.

(ii) That on the Scheme becoming effective, the Transferor Company shall be dissolved without being wound up.

(iii) That the Petitioner Companies do file the certified copy of the order sanctioning the Scheme of Amalgamation with the Registrar of Companies, Bangalore, and hc be directed to consolidate all files, documents, records etc of the Transferee Company.

(iv) That liberty be reserved to the Petitioner Company and all other persons interested in this Petition to apply to this Hon'ble Tribunal herein as and when occasion may arise for any direction that may be necessary.

2. The averments made in the Company Petitions are briefly described hereunder:-

A. The Petitioner Companies seek an order for sanctioning the Scheme of Amalgamation of Ruuki Metals Trading and Marketing India Private Limited (Petitioner No.1/ Transferor Company) and SSAB Swedish Steel (India) Private Limited (Petitioner No.2/ Transferee Company). The Scheme of Amalgamation is shown as **Annexure -A**.

B. The Petitioner No.1/ Transferor Company was incorporated on 18th November, 2011 under the name and style of '*Ruuki Metals Trading and Marketing India Private Limited*' under the jurisdiction of the Registrar of Companies, Maharashtra. Subsequently, by a special resolution the company sought to change the place of its registered office from Maharashtra to Karnataka and such

alternation in change of State was approved by the Regional Director (Western Region) Mumbai dated 18th August, 2016 which was registered by the Registrar of Companies, Bengaluru in Karnataka on September 14, 2016. The Certificate of Incorporation of Petitioner No.1/ Transferor Company bears CIN No. U74120KA2011FTC096432. The Registered office of the Petitioner No. 1/Transferor Company is at Unit 101, #18/9, Saleh Centre, Cunningham Road, Bengaluru-560052.

C. The object of the Petitioner No.1/Transferor Company as set out in its Memorandum of Association is "to carry on all or any of the business of manufacturing, fabricating, engineering, servicing, marketing, distributing, trading (wholesale, cash and carry basis), dealing, importing, exporting, processing, providing and supplying steel products and other metal-based components, systems and integrated systems including but not limited to frames, foundations, facade claddings, sandwich panels, steel roofs, roof structures, external wall elements, hot and cold rolled steel, colour coated steels, metal coated steels, precision tubes, pressure pipes, steel sections, cabins, booms, offshore structures, wind towers, welded components, steel piles, retaining walls, noise barriers, safety barriers, transmission towers, aluminium flat products, aluminium bars, aluminium tubes, aluminium profiles, stainless steel bars and tubes, stainless steel flat products, offshore structures." The Copy of the Memorandum & Articles of Association of the Transferor Company is shown in **Annexure-F.**

D. The latest authorised share capital of the Petitioner No. 1/Transferor Company is Rs. 1,95,00,000/- divided into 19,50,000 Equity Shares of Rs.10/- each. The issued, subscribed and paid-up capital of the Petitioner No. 1/Transferor Company is Rs.87,75,000/- divided into 8,77,500 Equity Shares of Rs.10/- each. The Copy of Audited Financials of the Petitioner No.1/ Transferor company as on 31st March, 2016 and is shown in **Annexure-B.** Copy of the provisional Balance Sheet of the Petitioner No.1 / Transferor Company as on 30th September, 2016 and is shown in **Annexure-C.**

E. The Petitioner No.2/ Transferee Company was incorporated on 19th February, 2009 under the name and style of '*SSAB Swedish Steel (India) Private Limited*' bearing CIN U28100KA2009FTC049178. The Registered office of the Petitioner No. 1/Transferor Company is at Unit 101, #18/9, Saleh Centre, Cunningham Road, Bengaluru-560052.

F. The object of the Petitioner No.2/ Transferee Company as set out in its Memorandum of Association is inter alia "to carry on business of manufacturing, selling, purchasing, importing, exporting, producing, casting, procuring, processing and in any way dealing in all grades, types, qualities, shapes, categories, and description of iron and steel, special steels, high speed steel, stainless steel including all types of alloy and alloy steel, constructional steels, direct hardening steel, case hardening steel, nitriding steels, ballbearing steels, corrosion resisting steels, heat resisting steels, special steels, carbon steels, free cutting steels, silico manganese steels, spring steels, alloy tool and die steels, cold and hot working steels, hot rolled, and cold rolled, grain oriented, technical steels, all types of alloying, material required for manufacture of rods, strips, billets, ingots, flats, grinders and angels made out of ferrous and non-ferrous metals and their alloys, pig iron, sponge iron, ferrosilicon ferrochrome, cast iron, scrap iron, wrought iron, mild steel, steel castings and steel forgings in all the categories of steel and also other ferrous substances, metals of every descriptions and grade and non-ferrous metals such as aluminium, copper, zinc, tin lead, and ex-materials of different sizes, by-products obtained in processing and manufacturing activities of the Company." The Copy of Certificate of Incorporation, Memorandum & Articles of Association of the Petitioner No.2/Transferor Company No. 2 is shown in **Annexure-G.**

G. The latest authorised share capital of the Petitioner No.2/ Transferee Company is Rs. 6,00,00,000/- divided into 60,00,000 Equity Shares of Rs.10/- each. The issued, subscribed and paid-up capital of the Petitioner No.2/ Transferee Company is Rs. 25,36,700/- divided into 2,53,670 Equity Shares of Rs.10/- each. The Copy of Audited Financials of the Petitioner No.2/ Transferee Company as

on 31st March, 2016 and as shown in **Annexure D.** The Copy of unaudited Financials of the Petitioner No.2/ Transferee Company as on 30th September, 2016 and as shown in **Annexure E.**

H. The Board of Directors of the Petitioner No.1/Transferor Company and Petitioner No.2/Transferee Company have approved and adopted the Scheme of Amalgamation at its meeting held on 26th December, 2016 and 27th December 2016, respectively. The copies of Board Resolutions are shown in **ANNEXURE – H** and **I** respectively.

I. The Petitioner No.1/Transferor Company and Petitioner No.2/ Transferee Company had filed Company Application No.(CAA) 12/BB/2017 before this Tribunal for dispensation of the meetings of Equity Shareholders, Secured Creditors and Unsecured Creditors of the Petitioner Company. This Tribunal vide its orders dated 05th June, 2017 allowed the Application and dispensed with convening of meeting of Equity Shareholders, secured Creditors & Unsecured Creditors of the Petitioner Companies. The Copy of the Order of this Tribunal in CA(CAA) No.12/BB/2017 is shown as **Annexure- J.**

J. The Counsel for the Applicant Companies has filed copy of Accounting Treatment Certificate dated 20th February, 2017 of the Auditor stating that "Based on the examination of the Scheme and related explanations from the management, we confirm that the accounting treatment as mentioned in the Scheme will be in conformity with the Accounting Standard 14 prescribed under Section 133 of the Companies Act, 2013 and all the applicable Accounting Standards as aforesaid." The Counsel for the Applicant Companies has filed copy of Accounting Treatment Certificate dated 20th February, 2017 of the Auditor is shown as **Annexure-K**.

3. This Tribunal vide order dated 29th August, 2017 directed the Petitioner Companies to issue Notice to all relevant statutory authorities including Income Tax Authorities, and also to have an advertisement of Notice of Petition be carried out in the '**The Hindu**',

an English daily Newspaper and **'Udayavani'** a Kannada daily Newspaper and stating the next date of hearing was on 16th October, 2017.

4. In pursuant to the same the Counsel for the Petitioner Companies has filed a Memo dated 26th September, 2017 of the authorized signatory of the Petitioner Company for having taken paper publication as directed and also has furnished the copy of the paper publication for having taken Advertisement in **'The Hindu'**, an English daily Newspaper and **'Udayavani'** a Kannada daily Newspaper on 20.09.2017.

5. The Income Tax Officer, Ward-6(1)(3), Bengaluru has submitted a letter dated 22.09.2017 with the following observations:

   a) On 13.07.2017, a letter was addressed to the Hon'ble Bench informing the Bench that M/s SSAB Swedish Steel (India) Pvt. Ltd. Has been selected for scrutiny and hence requested to keep the amalgamation proceedings in abeyance.

   b) It is once again brought to the notice of the Hon'ble Bench that the case M/s SSAB Swedish Steel India Pvt Ltd has been selected for scrutiny for the A.Y. 2016-17. As the assessment proceedings are under progress for completion, request the Hon'ble bench to keep the amalgamation proceedings pending till the assessment proceedings are completed.

6. The Registrar of Companies, Karnataka has filed the observations dated 11th September, 2017 making the following observations:

   a. The list of shareholders attached to MGT-7 of the Transferee Company list entered wrongly for the Financial Year ending on 31.03.2016, the number of shares at S. No. 1 shall be 1,48,500 then only the total becomes 1,50,000/- as per the Scheme.

   b. Both Transferor and Transferee Company have not filed GNL-1 Form.

7. The Regional Director, Ministry of Corporate Affairs, South-East Region, Hyderabad has filed Affidavit dated 17th October, 2017 making some observations:

a) That Clause 2.2 of the Scheme provides for appointed date as 01.04.2016. Clause 9.4 of the scheme provides that the transferor and the transferee companies shall have the liberty to avail any new loans and facility and raise any debentures and to create any mortgage or charge on their respective properties, which may raise scope for creation of new secured and unsecured creditors for the petitioner companies and their consents may be required for the proposed scheme.

b) That the valuation report of the valuer was not made available by the petitioner companies. **When called for the valuation report, the petitioner companies replied that the Board of Directors have decided the share exchange ratio and the same was consented to and approved by the shareholders and creditors of both the companies.** The petitioner companies further in their reply further stated that the petitioner companies are private limited companies held by the same set of shareholders and hence fairness opinion is not warranted. In the absence of valuation report of the valuer, i.e., Chartered Accountant, this office is not in a position to comment upon the correctness of the share exchange provided vide clause 12.1 of the Scheme. Petitioner companies may be directed to submit the valuation report of the valuer, i.e., Chartered Accountant, duly determining the share exchange ration along with calculation/working sheets.

c) That the transferor company had transactions with M/s Ruukki Metals Oy, a related party, earning its only income of Rs.1,90,72,825/- and Rs.1,53,31,784/- during the years 2014-15 and 2015-16 and it was asked to explain the compliance of Section 188 of the Companies Act, 2013, the transferor company gave an evasive reply to the effect that since transferor pricing rules are applicable, the transactions have been done at an arm's length basis. However, it did not substantiate the submission with documentary evidence of competing quotations, etc. It gave a certificate issued by a Practising Company Secretary to the extent the transactions are in compliance of Section188, which is not acceptable as the Regulator is entitled to verify as to how compliances are made, in public interest. Further, as the transferor company is proposed to be dissolved without winding up, in the event of any violations, it should get the offence compounded before

the proposed scheme is approved. Similarly, it appears that the transferor company violated the provisions of section 185 of the Companies Act, 2013 in respect of its reimbursement of expenses on behalf of SSAB India during the same period.

d) That the Registrar of Companies, Karnataka has reported that the petitioner companies involved in the proposed scheme are regular in filing the statutory returns and no complaints, no investigations and no inspections are pending against the petitioner companies.

e) That the Registrar of Companies, Karnataka in his report has observed that the list of shareholders attached to the MGT-7 of the transferee company entered wrongly for the financial year 31.03.2016. The number of shares at serial number 1 shall be 1,48,500, then only the total becomes 1,50,000 as per the scheme. The transferee company needs to rectify its filing of MGT7 for the year ended on 31.03.2016.

f) That the Registrar of Companies, Karnataka in his report has observed that both the transferor company and transferee company have not filed form GNL-1, which is a mandatory requirement.

g) That the Hon'ble Tribunal may be pleased to consider the above submissions and to dispose of the petition on merits and pass such other order or orders as deemed fit and proper in the circumstances.

(*emphasis supplied*)

8. The Official Liquidator attached to the Hon'ble High Court of Karnataka has submitted a report bearing OLR No. 175 of 2017 on 08.11.2017 making the following observations and requests:

(i) That the Official Liquidator may appoint a Chartered Accountant from the panel approved by the Hon'ble High Court of Karnataka for scrutiny of the books of accounts and records of the Transferor Company and to submit report on the affairs

of the Transferor Company with a concluding opinion that the affairs of the Transferor Company have not been conducted in a manner prejudicial to the interest of its members or general public.

(ii) That the Petitioner Company pay the professional fees of the Chartered Accountant as may be mutually agreed and in case the Chartered Accountant charges exorbitant fee which is not acceptable to the Transferor Company, the Official Liquidator shall appoint other Chartered Accountant by cancelling the appointment of that Chartered Accountant.

9. The Advocate for the Petitioner Companies have filed a reply dated 15th November, 2017 to the Objections raised by the Regional Director in furnishing response to the same, which are as follows:

i. That Clause 9 of the scheme provides for conduct of the business by Transferor Company up to the date of the order of the Tribunal. This clause is an enabling clause which permits the Transferor Company to conduct its business in the ordinary course on behalf of the Transferee Company until the order of the Tribunal approving the Scheme is received. Accordingly, Clause 9.4 enables both the companies to carry on their business, avail loans and provide security as many be required during the course of the business. All such liabilities, if any, of these creditors are to be borne by the transferee company. There is hence no question of the creation of new creditors whose consent is required for the purpose of the Scheme. The Petitioners have obtained the approval of creditors as provided under the Companies Act, 2013. The Hon'ble Tribunal was pleased to dispense with the meetings of creditors based on the consent affidavits of the creditors by the Order dated 05.06.2017. Such a requirement imposed by the RD would prevent companies from carrying on day to day activities during the pendency of approval of their Schemes for amalgamation. This was certainly not the intent of Companies Act, 2013.

ii. The Petitioners had filed written Submissions dated 21.08.2017 regarding the requirement of a valuation report. The contents are reiterated herein. A Share

Valuation Report is not mandatory under the Companies Act, 2013 or the Companies (Compromises, Arrangements and Amalgamations) Rule 2016. It is only made mandatory under Section 230(2)(v) of the Act when the companies propose debt restructuring. In the present case, there is no debt restructuring and hence a share valuation report is not mandatory. In the instant case the Board of Directors of both companies have arrived at a 1:1 share exchange ratio. All the shareholders of both the companies have given their consent for the scheme by way of affidavit and no shareholder has opposed the share exchange ratio or its valuation till date. Over 90% of the creditors have also consented to the Scheme. The usage of the words "if any" in Sections 230(3), 230(2)(d) of the Act and Rule 6(v)(c) of the Rules with respect to a share valuation report is itself a confirmation that the share valuation report is not mandatory under the Act. The Act and Rules repeatedly use the phrase 'if any' when a valuation report is referred to. This repeated use would only go to show that the share valuation report is not mandatory but is required only in cases where this Tribunal feels the need. The Petitioners are not listed companies, have common shareholders, have no secured creditors, has received no opposition from shareholders or unsecured creditors, has received no opposition from shareholders or unsecured creditors, and their amalgamation is by way of simple scheme in order to attain synergies of operation and benefit their shareholders. It is submitted that in the instant case a share valuation report is not mandatory and would in fact be unnecessary.

iii. The Hon'ble High Court of Bombay in *Re Advance Plastics Private Limited* [2007] 13 Comp Cas 1006 (Bom) has categorically held at para 5:

"Regional Director has stated that the scheme as proposed is not contrary to the public interest or prejudicial to the interest of the shareholders or creditors. The shares are the properties of the shareholders and they were the ultimate and the best judge of the value they would put on their charges. There was no requirement in the Companies Act that in such a case the ratio of exchange had to be determined on a valuation made by a chartered accountant and auditor. In the

present case, no shareholder had challenged the amalgamation. In the circumstances, valuation report was not necessary."

iv. Therefore the Share Valuation Report/Certificate is not a sine qua non for amalgamation of companies. The petitioner companies, being closely held private companies with same set of shareholders, no one would be prejudiced in the absence of a valuation report. Further, several judgments of the Hon'ble High Courts have also held that the Courts should not interfere in the matter of share exchange ratio unless there is something patently wrong. In the present case, the RD has also submitted that they have no comments on the share valuation ratio. It is therefore submitted that they have no comments on the share valuation ratio and the share valuation ratio is neither essential nor its absence prejudicial to any party.

v. The transactions with related parties were in the ordinary course of business and were on arm's length basis. The expression 'ordinary course of business' is not defined nor is there any indication as to the scope and limitation of the said expression. It means the normal routine in managing a trade or business. The Petitioner Company is engaged in the business of rendering marketing, sales and support services for the marketing and promotion of products in India of SSAB group, which includes its parent company as well as fellow subsidiary companies and accordingly to earn service income from such services to the SSAB Group. Thus, the Petitioner Company is engaged in the business of providing services only to SSAB Group and therefore, that being its only activity, squarely falls under the realm of ordinary course of business. To substantiate arms length nature of transactions, it is submitted that the Petitioners are subject to transfer pricing regulations in respect of international transactions of providing service to related party, according to which it is required to maintain and substantiate arm's length transaction with related parties under Income Tax Act, 1961. The Petitioners have duly done so and the Income Tax authorities at no point have questioned the Petitioners on this. A copy of the Certificate from a Practising Company Secretary certifying that provisions of section 188 of the Companies Act, 2013 have been complied with is submitted as **Annexure L**.

vi. The Transferor Company incurred certain expenses on behalf of the Transferee Company which were in the nature of travelling and accommodation expenses. The said expenses were reimbursed by the Transferee Company thereafter and this transaction occurring in the ordinary course of business has been termed by the RD as a "loan". Such reimbursement is not a "loan" in order to attract section 185 of the Companies Act, 2013. Courts have repeatedly held that such transactions do not constitute a loan for the purposes of the present or previous legislative prohibition on loans to directors. The Petitioners have not violated section 185 of the Companies Act, 2013.

vii. There was a typographical error in the list of shareholders with respect to number of shares that was attached with the Form MGT-7 filed for the financial year 2015-16 by Petitioner No.2. The error was unintentional and the Petitioner No.2 undertakes to file rectified return for the year end 31.03.2016 with the Registrar of Companies.

viii. Form GNL-1 is required to be filed by Companies seeking the approval of Registrar of Companies for different purposes under the Companies Act, 2013. Since the Tribunal has dispensed with the meetings of Companies vide its Order dated 05.06.2017, the Petitioner Companies had filed the said Order along with Scheme of Amalgamation in Form GNL-2, thereby complying with the provisions of the Companies Act, 2013. However, if the Tribunal so directs, the Petitioner shall file GNL-1 with the Registrar of Companies.

10. The Regional Director, Ministry of Corporate Affairs, South-East Region, Hyderabad has filed sur rejoinder dated 11th December, 2017 in response to the reply/rejoinder of the Petitioner Companies, making the following observations:

(a) That as regards seeking approval of the new creditors, in light of the petitioner's explanation, this observation may not be pursued any further.

(b) The requirements of a valuation report for consideration of the share exchange ratio proposed in the scheme are desirable and it is always sought after by the Regulators with a view to ensure that the share exchange ratio proposed is just,

equitable and proper. **The Petitioners contention that the members and creditors of the Companies involved in the Scheme have overwhelmingly approved the Scheme is not the good enough reason to not require a valuation report to justify the share exchange ratio as fixed in the Scheme.** So also is the contention that the Companies involved in the Scheme do belong to the same group. Every company is a juristic person and therefore despite each such company belonging to the same group, need to protect its own interest. Further, the argument that the members of the Companies involved are common and therefore their consent to the proposed share exchange ratio would be enough to fix whatever the share exchange ratio they deem fit goes against the principles of reasonableness, as well as transparency and also the basic principle of a corporate persona, i.e., the company is distinct from the members constituting it. Hence, it is reiterated that the proposed share exchange ratio needed to be backed by a valuation report.

(c) As regards related party transactions, it is observed from the Petitioner's submissions that the Petitioner earns its revenue by rendering services to SSAB Group on cost plus pricing basis and is not on the commercial consideration of transactions being carried out at market price. **The law specifically defines the arm's length transaction being carried as one which is conducted between the related parties as if they were unrelated meaning thereby that the terms of supply or services shall be market dictated and not on any other basis. The market price may be even less than the cost. Such a market price shall be discovered by floating enquiries and not on the so called transfer pricing regulations under the IT Act, 1961 which is not applicable for ascertaining compliance or otherwise of the provisions of section 188 of the Companies Act, 2013.** Hence, prima facie it is established from the Petitioners reply that the Petitioner did not comply with the provisions of section 188 of the Companies Act, 2013 in respect of its transactions with related parties and therefore, the Petitioner is required to make good the offence by seeking compounding of the same before

the Scheme is taken up for consideration as the Petitioner is proposed to be dissolved without winding up.

(d) The arguments of the Petitioner that the expense of the Transferee Company incurred upfront and then seeking a reimbursement thereof is not a loan, is not acceptable. This arrangement is nothing but a financial accommodation provided by the Petitioner to be Transferee Company; which is an indirect loan, contravening the provisions of section 185 of the Companies Act, 2013. Hence the Petitioner be required to get the offence committed under section 185 of the Companies Act, 2013 compounded before the Scheme is considered for approval as the Petitioner is proposed to be dissolved without winding up.

(e) As regards Form GNL-1, it is reiterated that the Petitioners are required to file Form GNL-1 along with fees as per the requirements of the Companies (Registration Offices and Fees) Rules, 2014.

(*emphasis supplied*)

11. In pursuance of the report filed by the Official Liquidator bearing OLR No. 175 of 2017, the Tribunal permitted the Official Liquidator to appoint a Chartered Accountant from the panel maintained in the office of the Official Liquidator. In pursuance of the aforesaid order dated 15.11.2017, M/s Rao & Emmar, Chartered Accountants was appointed to scrutinise the books and accounts of the Transferor Company and submit their report to the Official Liquidator. The observations made by M/s Rao & Emmar, Chartered Accountants were reiterated by the Official Liquidator in OLR No. 48/2018 dated 21.03.2018 in the following form, expressing its consent for the Scheme:

(i) "We are of the opinion that the Company has maintained proper books of accounts, papers, statutory registers, minutes and other records as required by the Companies Act, 2013.

(ii) We are of the opinion that the business has not been carried on with intent to defraud the creditors or any other person or for any fraudulent purpose attracting the penal provisions of section 339 of the Companies Act, 2013.

(iii) Neither has any person or officer or director of the Company misapplied or diverted or retained or become liable or accountable for any money or property of the Company or has been found guilty of any misappropriation, breach of trust in relation to the Company under Section 340 of the Companies Act, 2013.

(iv) In view of the above observations, we are of the opinion that the affairs of M/s Ruukki Metals Trading and Marketing India Private Limited, the Transferor Company have not been conducted in a manner prejudicial to the interests of its members or creditors or the public."

12. The Petitioners have filed their written submissions along with gist of citations on 08.06.2018 which can be summarised briefly as follows:

i. Valuation Report: The RD states that the Petitioners are required to file a valuation report in the present case. A share valuation report is not mandatory under the Companies Act, 2013 or the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016. It is mandatory only under section 230(2)(v) of the Act when the companies propose debt restructuring. In the present case, there is no debt restructuring and hence a share valuation report is not mandatory. In the instant case, the Board of Directors of both companies have arrived at 1:1 share exchange ratio. All the shareholders of both the companies have given their consent for the scheme by way of affidavit and no shareholder has opposed the share exchange ratio or its valuation till date. Over 90% of the creditors have also consented to the Scheme. The usage of the words "if any" with respect to a share valuation report is itself a confirmation that the share valuation report is not mandatory under the Act. The Petitioners are not listed companies, they have common shareholders, have no secured creditors, has received no opposition from shareholders or unsecured creditors, has received no opposition from shareholders or

unsecured creditors, and their amalgamation is by way of simple scheme in order to attain synergies of operation and benefit their shareholders. To this effect the Petitioners have relied upon *Re Advance Plastics Private Limited* [2007] 13 Comp Cas 1006 (Bom), *in Re mahavir Weaves Pvt. Ltd.* [1995] 83 Comp Cas (Guj), *KEC International Ltd.* Vs. *Kamani Employees Union & Others* [2002] 109 Comp Cas.659 (Bom), and *In Re Hindustan Instruments Ltd. and Others* (1988) 64 Comp Cas 116(P&H)

ii. Related Party Transaction: The transactions with related parties were in course of ordinary business and arm's length basis. The transactions with related parties were in the ordinary course of business and were on arm's length basis. The expression 'ordinary course of business' is not defined nor is there any indication as to the scope and limitation of the said expression. It means the normal routine in managing a trade or business. The Petitioner Company is engaged in the business of rendering marketing, sales and support services for the marketing and promotion of products in India of SSAB group, which includes its parent company as well as fellow subsidiary companies and accordingly to earn service income from such services to the SSAB Group. It is further submitted that for Financial Year 2014-15 and 2015-16, the Petitioner No. 1 provided marketing and sales promotion services to SSAB Europe Oy at cost plus 15% mark up. As the company entered into international transaction with a related party, Indian Transfer Pricing regulations are applicable. To substantiate arms length nature of transactions, it is submitted that the Petitioners are subject to transfer pricing regulations in respect of international transactions of providing service to related party, according to which it is required to maintain and substantiate arm's length transaction with related parties under Income Tax Act, 1961. The Petitioners have duly done so and the Income Tax authorities at no point have questioned the Petitioners on this. The Petitioner Companies have extraneously made compliance with related party transaction as a good governance practice. The parties with whom the Petitioners had transactions were foreign bodies corporate, which are not

defined as related party in the extant s. 2(76)(viii). Therefore, compliance with s.188 of the Companies Act, 2013 was not warranted and inapplicable to the situation. As per the exemption vide 15.06.2015 given to fellow subsidiaries of private companies, the Petitioner Companies were exempt.

iii. Loan to Directors: The transferor Company incurred certain expenses on behalf of the Transferee Company which were in the nature of travelling and accommodation expenses which were reimbursed by the Transferee Company at a later date. This transaction occurring in the ordinary course of business has been termed by the RD as a "loan". Such reimbursement is not a "loan" in order to attract section 185 of the Companies Act, 2013. Courts have repeatedly held that such transactions do not constitute a loan for the purposes of the present or previous legislative prohibition on loans to directors. Therefore, the provisions of section 185 of the Companies Act, 2013 have not been violated. The case of *Champagne Perrier Jouct SA* v. *H.H. Finch Ltd.* (1982) 3 All ER 713 has been cited.

iv. Filing of GNL-1: The Petitioner companies have filed GNL-1 and have attached the confirmation of the filing as **Annexure- N**.

13. Heard Ms. Maneesha Kongovi, Advocate for the Petitioner Companies and Smt. Prema Hatti, Standing Counsel for the Registrar of Companies and the Regional Director of MCA and perused all the material on record.

14. Prior to delving into the issues at hand, it is necessary to state the scope of the Tribunal to look into the various aspects raised in the instant case. The NCLAT in the case of ***Wiki Kids Limited and another v. Regional Director and Other,*** Company Appeal (AT) No.285 of 2017 at paragraph 19, has held as follows:

> *"The Tribunal below has enough expertise to look into the Scheme of Amalgamation and can also see whether it is not just and fair to all shareholders. It has a duty to act in public interest. In the matter of company, it needs to see if it is in the interest of all the shareholders and*

the company. In the light of this it is desirable not to look into the mathematical details but a broad look at the scheme of amalgamation. If it shows that there are wide variation in the valuation as can be achieved, it will be desirable that expertise available in the Tribunal has to look so that unfair advantage does not flow to one of the group of shareholders or the other."

15. In the case of ***Miheer H. Mafatlal v. Mafatlal Industries Ltd.***, (1997) 1 SCC 579, the contours of jurisdiction of the Authority which can sanction the Scheme of restructuring of Companies has been laid down by the Honourable Supreme Court in paragraph 29 of the judgement as follows-

"In view of the aforesaid settled legal position, therefore, the scope and ambit of the jurisdiction of the Company Court has clearly got earmarked. The following broad contours of such jurisdiction have emerged:

1. *The sanctioning court has to see to it that all the requisite statutory procedure for supporting such a scheme has been complied with and that the requisite meetings as contemplated by Section 391(1)(a) have been held.*
2. *That the scheme put up for sanction of the Court is backed up by the requisite majority vote as required by Section 391 sub-section (2).*
3. *That the meetings concerned of the creditors or members or any class of them had the relevant material to enable the voters to arrive at an informed decision for approving the scheme in question. That the majority decision of the concerned class of voters is just and fair to the class as a whole so as to legitimately bind even the dissenting members of that class.*
4. *That all necessary material indicated by Section 393(1)(a) is placed before the voters at the meetings concerned as contemplated by Section 391 sub-section (1).*

5. *That all the requisite material contemplated by the proviso of sub-section (2) of Section 391 of the Act is placed before the Court by the applicant concerned seeking sanction for such a scheme and the Court gets satisfied about the same.*

6. *That the proposed scheme of compromise and arrangement is not found to be violative of any provision of law and is not contrary to public policy. For ascertaining the real purpose underlying the scheme with a view to be satisfied on this aspect, the Court, if necessary, can pierce the veil of apparent corporate purpose underlying the scheme and can judiciously X-ray the same.*

7. *That the Company Court has also to satisfy itself that members or class of members or creditors or class of creditors, as the case may be, were acting bona fide and in good faith and were not coercing the minority in order to promote any interest adverse to that of the latter comprising the same class whom they purported to represent.*

8. *That the scheme as a whole is also found to be just, fair and reasonable from the point of view of prudent men of business taking a commercial decision beneficial to the class represented by them for whom the scheme is meant.*

9. *Once the aforesaid broad parameters about the requirements of a scheme for getting sanction of the Court are found to have been met, the Court will have no further jurisdiction to sit in appeal over the commercial wisdom of the majority of the class of persons who with their open eyes have given their approval to the scheme even if in the view of the Court there would be a better scheme for the company and its members or creditors for whom the scheme is framed. The Court cannot refuse to sanction such a scheme on that ground as it would otherwise amount to the Court exercising appellate jurisdiction over the scheme rather than its supervisory jurisdiction.*

The aforesaid parameters of the scope and ambit of the jurisdiction of the Company Court which is called upon to sanction a scheme of

compromise and arrangement are not exhaustive but only broadly illustrative of the contours of the Court's jurisdiction."

Thus, the Tribunal has a duty to act in public interest and to ensure that the scheme of amalgamation does not violate any provision of law and is not contrary to public policy.

16. In the instant case, the Regional Director has raised several objections to the Scheme vide their Affidavit dated 17.10.2017 and the Counsel for the Petitioners filed a Rejoinder on 15.11.2017 providing explanations for the same. The Regional Director in its sur-rejoinder dated 11.12.2017 sought for the Valuation Report based on which the Share exchange ratio is suggested along with the submission of Form GNL-1. The Regional Director also pointed out that the Petitioner has violated the provisions of s.188 of the Companies Act, 2013 as the related party transactions have not been conducted at arm's length and that the Transferee Company was given an indirect loan contravening the provisions of s.185 of the Companies Act, 2013. With regard to the alleged contraventions of s.185 and s.188 of the Companies Act, the Regional Director has sought for the matter to be compounded prior to sanction of the Scheme. The Counsel for the Petitioner Companies has filed written submissions on 08.06.2018 refuting the allegations made by the Regional Director and submitting that it is not mandatory to provide the Valuation Report. However, the Petitioner Companies have filed Form GNL-1 and submitted proof of the same.

17. The Regional Director, Ministry of Corporate Affairs, South-East Region has the right to make representation and raise the queries upon carefully examining the Scheme. In fact, in ***Ccsby CFS Pvt. Ltd.,*** 2015 SCC OnLine Bom 4147 : (2015) 6 AIR Bom R 231, the scope of the duties of the Regional Director regarding Schemes for compromise, amalgamations or arrangements has been given as follows:

"30. I have considered the submissions advanced on behalf of the Petitioners as well as the Regional Director qua the scheme providing for the appointed date as 1st April 2008. I have also considered the decisions relied upon by the Petitioners pointing out the limitations of the court while sanctioning a scheme filed under Section 394 of the Act. It is an undisputed proposition that the court can interfere with

the decision/commercial wisdom of the shareholders if the Court is satisfied that the scheme has been framed with the intention of contravening the provision of any law. It is also well settled that the Court can interfere with the decision/commercial wisdom of the shareholders if the Court is satisfied that the scheme as framed in fact contravenes the provisions of any law, albeit unintentionally. There can be again no disagreement on the issue that the shareholders of companies are free to choose any date as an appointed date in their commercial wisdom. However, if the Regional Director nurtures any doubt qua any of the clauses in the scheme, including the date chosen as the appointed date, and finds that the same is contrary to law or apprehends that on the strength of such a clause contained in the scheme, the Company, after obtaining sanction from the Court, may use or misuse the same for contravention of any law including the provisions of the Income Tax, he is entitled to voice his doubt/apprehension before the Court, at the time the Court considers the grant of sanction to the scheme and it is always open to the Court to consider the doubt/apprehension expressed by the Regional Director and pass necessary orders either rejecting the scheme or sanctioning the same with/or without necessary clarifications. I also do not agree with argument advanced by the Petitioners that the Regional Director cannot object to the scheme on the ground that the same violates the provisions of the Income Tax Act and it is only the Income Tax Authorities who may raise an objection and that too only within the period stipulated in the circular dated 15th January 2014. Since this Court is required to ensure that a scheme of amalgamation does not contravene any provision of law, in my view, the Regional Director is not only entitled to but is duty bound to bring to the attention of the Court any provision in the scheme which may contravene/circumvent the provisions of any law including the law pertaining to Income Tax. This is to ensure that a company does not obtain sanction of a scheme and thereafter use the same as a shield to protect itself from the consequences arising out of the contravention of provisions of law. In the present case itself, the Petitioners have included clause 6.2.1 in the scheme which expressly permits the Transferee inter alia to file revised Income Tax returns and that too

notwithstanding the expiry of the statutory period for filing such returns and without satisfying the conditions stipulated by Section 139(5) of the Income Tax Act. The Regional Director has submitted that the Petitioners by the device of the scheme have planned to file revised Income Tax returns in breach of Section 139(5) of the Income Tax Act and are seeking the sanction of this Court to perpetuate such an illegality. In support of his contention, the Regional Director has relied on several decisions of various High Courts which I have referred to above and which have held that a revised Income Tax Return can be filed if and only if the conditions stipulated in Section 139(5) are satisfied viz. (i) that the assessee discovers any omission or wrong statement in the Income Tax Return already filed and (ii) the revised Income Tax Return is filed before the expiry of one year from the end of the relevant Assessment Year or before the completion of the assessment whichever is earlier. In fact, it was only after the Regional Director made this submission that the Petitioners agreed to delete the said clause from the scheme. In the circumstances, but for the Regional Director's efforts in bringing these facts to the attention of the Court, the same would have gone unnoticed.

31. Further, the right/duty of the Regional Director to make a representation and offer his comments in respect of a scheme has received statutory recognition in Sections 394 and 394A of the Act. Both these provisions postulate that the Regional Director is required to examine the scheme and offer his comments and views thereon, which are required to be considered by the Court. It is therefore clear that the legislature intended that the Regional Director will examine a scheme from all aspects and place his observations and views before the Court and the Court will consider the same before sanctioning the scheme. It is obvious that the Regional Director while making his observations and comments is entitled to consider the scheme from all aspects and is not restricted in any manner. He is entitled to consider the effect and implications of the scheme on any law and place his views before the Court if he finds that the scheme violates any law or is prejudicial to public interest or to the interests of the shareholders of the company or companies involved. In fact, it is the duty and

obligation of the Regional Director to consider every scheme in the aforesaid manner and place his views and observations before the Court. To hold otherwise would be to defeat the intention of the legislature as reflected in Sections 394 and 394A of the Act. It is also to be noted that giving the Regional Director the opportunity to place all his observations on record cannot be said to prejudice anyone including the parties before the Court. It is always in the public interest that all aspects of a scheme are duly considered and decided before the same is sanctioned."

18. It is pertinent to note that in the instant case, the Regional Director has sought the Valuation Report based on which the Share Exchange Ratio has been determined. The Petitioners have time and again refused to produce the same. In fact, the submissions made by the Counsel for the Petitioner Companies seem to suggest that no valuation was ever done to arrive at the said share exchange ratio of 1:1. In the absence of the Valuation Report, the fairness of the Share Exchange Ratio cannot be ascertained. Further, the Petitioner Companies have sought to explain the related party transactions from the angle of tax law and not with reference to company law. The Regional Director has sought for the alleged contraventions of s.185 and s.188 of the Companies Act, 2016 to be compounded prior to sanction of the Scheme. This Tribunal has a duty to act in public interest and the Petitioner Companies have failed to convince the Tribunal with their arguments and case laws.

19. It is further pertinent to note that the Income Tax Officer, Ward-6(1)(3), Bengaluru on 22.09.2017 had intimated that the Petitioner Company No.2 has been selected for scrutiny for the Assessment Year 2016-17. **The Income Tax Officer had further sought for the stay of amalgamation proceedings till the scrutiny/assessment proceedings are completed.** The Petitioners instead of pursuing the matter with Income Tax Department to compute the pending assessment/scrutiny, is urging the Tribunal to accept the Scheme. Moreover, there are several discrepancies as pointed out supra, which the Petitioners have failed to comply and we are not convinced with the reply given by the learned Counsel for the Petitioners. Therefore, we are unable to accept the Scheme in question. As a result, C.P (CAA) No. 35/BB/2018 is disposed off

with liberty to the Petitioners to file a fresh Petition in accordance with law after getting the Valuation Report and clearance from the Income Tax Department. No order as to costs.

ASHOK KUMAR MISHRA
(MEMBER, TECHNICAL)

RAJESWARA RAO VITTANALA
(MEMBER, JUDICIAL)

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